



SYMBIOSIS INTERNATIONAL (DEEMED UNIVERSITY)

(Established under section 3 of the UGC Act, 1956)
Re-accredited by NAAC with 'A++' Grade Awarded Category - I by UGC

Seat No.					
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Institute: (0203)SYMBIOSIS CENTRE FOR MANAGEMENT AND HUMAN RESOURCE DEVELOPMENT,
PUNE

Programme: (020341) MASTER OF BUSINESS ADMINISTRATION

Batch: 2023-25

Semester: I

Course: Basics of Financial Management

Course Code: 0203410105

Date: 12/03/2025

Maximum Marks: 40

Day: Wednesday

Time: 09:30 - 11:00

NOTE : DO NOT WRITE ANYTHING ON THE QUESTION PAPER

Instructions:

- All questions are compulsory.
- Questions carry different marks, as indicated.
- Use of Excel / Calculator is permitted.
- Show all your workings and formulae / excel functions used in calculation / evaluation in your Answer Sheet.
- All answers to be written in hard copy (Answer Sheet only); Excel working not to be submitted.

Q.1

(9 Marks - 3 Marks each) - CO 3

Answer the following:

- (i) Why Compulsorily Convertible Debentures carry a higher coupon (interest rate) than ordinary bonds, whereas Optionally Convertible Debentures generally carry a lower coupon than ordinary bonds?
- (ii) Why Debentures with 'Call' option generally carry a higher coupon (interest rate) than ordinary bonds, whereas Debentures with 'Put' option generally carry a lower coupon than ordinary bonds?
- (iii) Why is it that highly rated companies can raise funds through bonds at a rate cheaper than bank loans, whereas companies with average credit rating (BBB+, BBB, BBB-) find bank loans to be a cheaper option?

Q.2

(Marks 4) - CO 2

If a company's Return on Capital Employed is 13% and Cost of Debt is 10.5%: *(assume there is no corporate tax)*:

- a. What would be its Return on Equity (RoE), if the Debt Equity Ratio is 2:1?
- b. *Further*, if the Company wants to improve its Return on Equity to 23%, what should be the revised Gearing (i.e. Debt Equity Ratio)?

Q.3 Write the formulae of the following Ratios

(Marks 4) - CO 1

- i. Return on Capital Employed (RoCE)
- ii. Trade Receivables Turnover
- iii. Operating Profit Margin
- iv. Payables Holding (Days)

Q.4 Answer the following in brief:

(Marks 3; 1 Mark each) - CO 2

- (i) A debt-free company has no expansion / acquisition plans and ample reserves, including retained earnings - reflected in current assets in the form of cash and cash equivalents; What can it do to improve the RoE?
- (ii) A company has 100 equity and 250 debt. The cost of equity is 15%, and that of debt is 10%. The company needs to raise additional 50 for expansion. Fresh debt may result in both the costs going up significantly. Are there any other better options available to the company?
- (iii) When does a no debt company continue to carry huge reserves - reflected in current assets, mostly in the form of cash & cash equivalents?

Q.5

(Marks 10) – CO2

- a) According to the latest corporate news published on Bloomberg, XYZ Ltd. has announced a final dividend of 15% on the face value of its share, which is Rs. 5. The dividend will be paid this year to the shareholders. Calculate the fair price of the stock and comment whether the stock is overvalued, undervalued, or fairly valued if its current trading price is Rs. 35.
- b) If XYZ Ltd. plans to maintain the same amount of dividend forever and the required rate of return is 12%. (ii) If XYZ Ltd. is expected to grow its dividend by 6% annually and the expected market return on similar assets is 12%.

Show All your workings, formulae/ excel functions used in evaluation

Q.6**(Marks 10) – CO2**

SolarVista Inc. has projected the following free cash flows (in Rs. million) over the next five years:

- Year 1: (200)
- Year 2: 300
- Year 3: 400
- Year 4: 500
- Year 5: 550

Competitors are expected to catch up by the end of year 5, reducing growth to 3% perpetually. The company's WACC is 10%, and there are 50 million shares outstanding.

- (i) Calculate the firm's total value today. (ii) Determine the stock price per share.

Show All your workings, formulae/ excel functions used in evaluation
